

Month	#	Sales	#	Loans	#	Investment	#	Total Inflows	#	Salaries	#	Rent	#	Utilities	#	Marketing	#	Total Outflows	#	Net Cash flows		
Seasonality factors																						
Month		Seasonality Factor		Notes																		
January		0.95		5% below normal sales																		
February		0.95		5% below normal sales																		
March		1		Normal sales																		
April		0.95		5% below normal sales																		
May		0.95		5% below normal sales																		
June		1		Normal sales																		
July		0.95		5% below normal sales																		
August		1		Normal sales																		
September		1.05		5% above normal sales																		
October		1.2		20% above normal sales																		
November		1.15		15% above normal sales																		

Month	Opening Balance	EMI	Interest	Principal	Closing Balance
1	500000	43958	4167	39791	460209
2	460209	43958	3835	40123	420086
3	420086	43958	3501	40457	379629
4	379629	43958	3164	40794	338834
5	338834	43958	2824	41134	297700
6	297700	43958	2481	41477	256223
7	256223	43958	2135	41823	214400
8	214400	43958	1787	42171	172229
9	172229	43958	1435	42523	129706
10	129706	43958	1081	42877	86829
11	86829	43958	724	43234	43595
12	43595	43958	363	43595	0

#	Column 1	#	Column 2	#	Column 3	#	Column 4	#	Column 5	#	Column 6	#	Column 7	#	Column 8	#	Column 9	#	Column 10	#	Column 11	#	Column 12	#	Column 13
Particulars	January	February	March	April	May	June	July	August	September	October	November	December													
CASH INFLOWS																									
Sales Revenue	95000	96300	97600	94000	95300	96600	95300	96600	101700	119900	117300	130000													
Other Cash Inflows	0	0	0	0	0	0	0	0	0	0	0	0													
Total Cash Inflows	95000	96300	97600	94000	95300	96600	95300	96600	101700	119900	117300	130000													
CASH OUTFLOWS																									
Salaries	30000	30900	31827	32782	33765	34778	35821	36896	38003	39143	40317	41526													
Rent	15000	15000	15000	15000	15000	15000	15000	15000	15000	15000	15000	15000													
Utilities	5000	5150	5305	5464	5628	5797	5971	6150	6335	6525	6721	6923													
Marketing	5000	5250	5513	5788	6077	6381	6700	7035	7387	7756	8144	8551													
Raw Material	20000	20600	21218	21854	22509	23184	23880	24616	25355	26115	26898	27705													
Loan Principal	39791	40123	40457	40794	41134	41477	41823	42171	42523	42877	43234	43595													
Loan Interest	4167	3835	3501	3164	2824	2481	2135	1787	1435	1081	724	363													
Total Cash Outflows	128958	130858	132821	134846	136937	139098	141330	143655	146038	148497	151038	153663													
Net Cash Flow	-33958	-34558	-35221	-40846	-41637	-42498	-46030	-47055	-44338	-28597	-33738	-23663													
Opening Cash Balance	100000	66042	31484	-3737	-44583	-86220	-128718	-174748	-221803	-266141	-294738	-328476													
Closing Cash Balance	66042	31484	-3737	-44583	-86220	-128718	-174748	-221803	-266141	-294738	-328476	-352139													

Month	#	Sales	#	Loans	#	Investment	#	Total Inflows	#	Salaries	#	Rent	#	Utilities	#	Marketing	#	Total Outflows	#	Net Cash flows		
Beginning Cash Balance		100000																				
Ending Cash Balance		-23663																				
Maximum Cash Requirement		23663																				
Particulars	January		February		March		April		May		June		July		August		September		October		November	December
BUDGETED INFLOWS																						
Sales Revenue	95000		96300		97600		94000		95300		96600		95300		96600		101700		119900		117300	130000
Other Cash Inflows	0		0		0		0		0		0		0		0		0		0		0	0
Total Budgeted Inflows	95000		96300		97600		94000		95300		96600		95300		96600		101700		119900		117300	130000
BUDGETED OUTFLOWS																						
Salaries	30000		30900		31827		32782		33765		34778		35821		36896		38003		39143		40317	41526
Rent	15000		15000		15000		15000		15000		15000		15000		15000		15000		15000		15000	15000
Utilities	5000		5150		5305		5464		5628		5797		5971		6150		6335		6525		6721	6923
Marketing	5000		5250		5513		5788		6077		6381		6700		7035		7387		7756		8144	8551
Raw Material	20000		20600		21218		21854		22509		23184		23880		24616		25355		26115		26898	27705
Loan Principal	39791		40123		40457		40794		41134		41477		41823		42171		42523		42877		43234	43595
Loan Interest	4167		3835		3501		3164		2824		2481		2135		1787		1435		1081		724	363
Total Budgeted Outflows	128958		130858		132821		134846		136937		139098		141330		143655		146038		148497		151038	153663
Particulars	January		February		March		April		May		June		July		August		September		October		November	December
ACTUAL INFLOWS																						
Sales Revenue	97000		95000		99000		93000		96000		98000		94000		97000		103000		121000		116000	132000
Other Cash Inflows	0		0		0		0		0		0		0		0		0		0		0	0
Total Actual Inflows	97000		95000		99000		93000		96000		98000		94000		97000		103000		121000		116000	132000
Particulars	January		February		March		April		May		June		July		August		September		October		November	December
ACTUAL OUTFLOWS																						
Salaries	30000		31000		32000		33000		34000		35000		36000		37000		38000		39500		40500	42000
Rent	15000		15000		15000		15000		15000		15000		15000		15000		15000		15000		15000	15000
Utilities	5100		5200		5400		5500		5700		5900		6000		6200		6400		6600		6800	7000
Marketing	4800		5300		5600		5800		6100		6500		6800		7100		7500		7800		8200	8600
Raw Material	19800		20700		21500		22000		22700		23500		24000		24800		25600		26300		27000	28000
Loan Principal	39791		40123		40457		40794		41134		41477		41823		42171		42523		42877		43234	43595
Loan Interest	4167		3835		3501		3164		2824		2481		2135		1787		1435		1081		724	363
Total Actual Outflows	128658		131158		138458		139258		142458		144858		146758		150058		153458		156158		161458	165558
Particulars	January		February		March		April		May		June		July		August		September		October		November	December
VARIANCE																						
Total Inflows Variance	2000		-1300		1400		-1000		700		1400		-1300		400		1300		1100		-1300	2000
Total Outflows Variance	-300		300		5637		4412		5521		5760		5428		6403		7420		7661		10420	11895
Net Cash Flow Variance	2300		-1600		-4237		-5412		-4821		-4360		-6728		-6003		-6120		-6561		-11720	-9895
Month	Opening Balance		Inflows		Outflows		Net Cash Flow		Closing Balance													
January	100000		95000		128958		-33958		66042													
February	66042		96300		130858		-34558		31484													
March	31484		97600		132821		-35221		-3737													
April	-3737		94000		134846		-40846		-44583													
May	-44583		95300		136937		-41637		-86220													
June	-86220		96600		139098		-42498		-128718													
July	-128718		95300		141330		-46030		-174748													
August	-174748		96600		143655		-47055		-221803													
September	-221803		101700		146038		-44338		-266141													
October	-266141		119900		148497		-28597		-294738													
November	-294738		117300		151038		-33738		-328476													
December	-328476		130000		153663		-23663		-352139													

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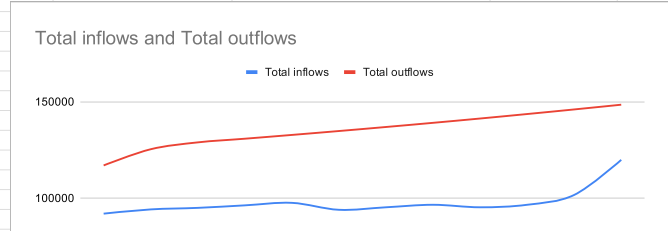
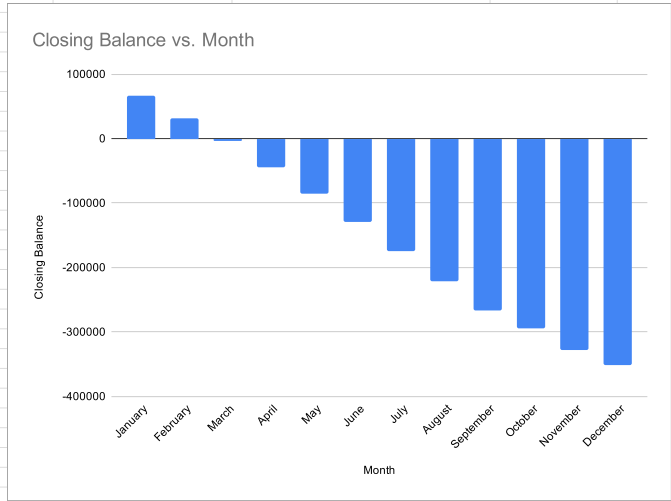
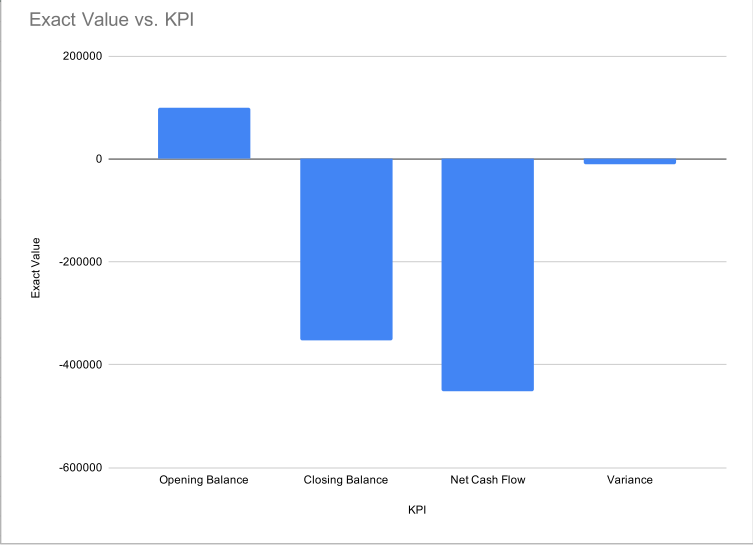
Month	#	Sales	#	Loans	#	Investment	#	Total Inflows	#	Salaries	#	Rent	#	Utilities	#	Marketing	#	Total Outflows	#	Net Cash flows
October		96600		143655																
November		101700		146038																
December		119900		148497																

Month	#	Budget inflows	#	Actual inflows	Budgeted Outflows	#	Actual Outflows
January		117300		151038	630000		1127490
February		130000		153663	720000		1220023
March		120000		720000	450000		124040
April		270000		95000	125000		127004
May		95000		97000	128958		128658
June		96300		95000	130858		131158
July		97600		99000	132821		138458
August		94000		93000	134846		139258
September		95300		96000	136937		142458
October		96600		98000	139098		144858
November		95300		94000	141330		146758
December		96600		97000	143655		150058

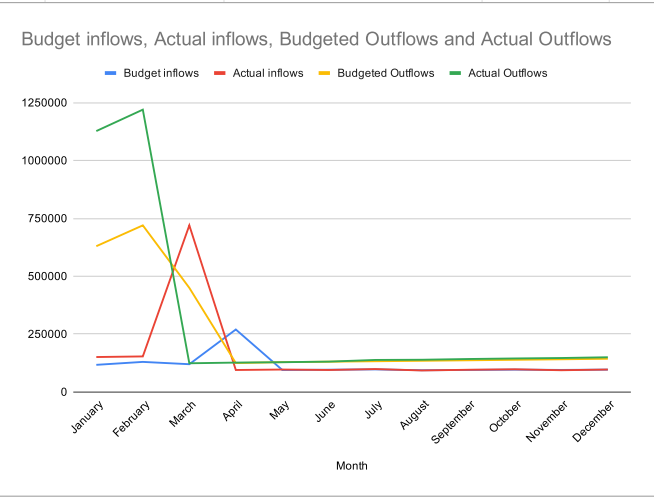
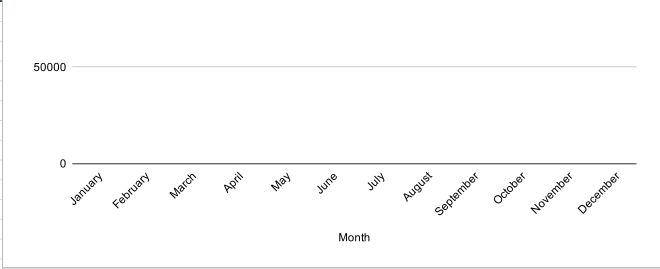
Month	Inflows Variance	Outflows Variance	Net Cash Flow Variance
January	2000	-300	2300
February	-1300	300	-1600
March	1400	5637	-4237
April	-1000	4412	-5412
May	700	5521	-4821
June	1400	5760	-4360
July	-1300	5428	-6728
August	400	6403	-6003
September	1300	7420	-6120
October	1100	7661	-6561
November	-1300	10420	-11720
December	2000	11895	-9895

Month	%	Sales Growth %	%	Expense Growth %
January		2%		2%
February		8%		4%
march		12%		3%
April		10%		5%
May		6%		2%
june		10%		-2%
July		11%		-1%
August		18%		12%
September		5%		3%
October		15%		13%
November		0%		13%

Month	#	Sales	#	Loans	#	Investment	#	Total inflows	#	Salaries	#	Rent	#	Utilities	#	Marketing	#	Total Outflows	#	Net Cash flows
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Month	#	Sales	#	Loans	#	Investment	#	Total inflows	#	Salaries	#	Rent	#	Utilities	#	Marketing	#	Total Outflows	#	Net Cash flows
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	Month	#	Sales	#	Loans	#	Investment	#	Total Inflows	#	Salaries	#	Rent	#	Utilities	#	Marketing	#	Total Outflows	#	Net Cash flows
June Net Cash Flow Variance: -Rs.4,360																					
September Net Cash Flow Variance: -Rs.6,120																					
November Net Cash Flow Variance: -Rs.11,720																					
December Net Cash Flow Variance: -Rs.9,895																					
Worst Monthly Variance: November (-Rs.11,720)																					
Key Finding:																					
Cash-flow performance deteriorated particularly during the later months because actual expenses exceeded budget.																					
SCENARIO ANALYSIS																					
BASE CASE																					
Sales Growth: 5%																					
Expense Growth: 3%																					
Expected Impact: Standard cash flow projection																					
BEST CASE																					
Sales Growth: 15%																					
Expense Growth: -2%																					
Expected Impact: Higher ending cash balance																					
WORST CASE																					
Sales Growth: 0%																					
Expense Growth: 13%																					
Expected Impact: Lower ending cash balance																					
LIQUIDITY RISKS IDENTIFIED																					
1. Negative cash balance begins in March: -Rs.3,737.																					
2. Cash deficit increases to -Rs.128,718 by June.																					
3. Cash deficit reaches -Rs.266,141 by September.																					
4. December closing cash balance reaches -Rs.352,139.																					
5. Monthly outflows remain higher than inflows.																					
6. Actual outflows exceed budget in several months.																					
7. Increasing operating expenses create additional pressure on liquidity.																					
Overall Risk:																					
The business may require additional financing or cost reduction to maintain sufficient working capital.																					
RECOMMENDATIONS FOR MANAGEMENT																					
1. Increase sales revenue to improve monthly cash inflows.																					
2. Reduce unnecessary operating expenses.																					
3. Closely monitor salaries, marketing and raw-material costs.																					
4. Review monthly budget vs actual variances.																					
5. Maintain a minimum cash reserve.																					
6. Consider additional short-term financing to cover the projected liquidity gap.																					
7. Control marketing and variable costs when cash inflows are below budget.																					
8. Use scenario analysis regularly to prepare for best-case and worst-case situations.																					
9. Monitor loan principal and interest payments carefully.																					
10. Prepare monthly rolling cash-flow forecasts.																					
KEY FINANCIAL FIGURES																					
Beginning Cash: Rs.100,000																					
December Inflows: Rs.130,000																					
December Outflows: Rs.165,558																					
December Net Cash Flow: -Rs.35,558																					
December Closing Cash: -Rs.352,139																					
Maximum Cash Requirement: Rs.352,139																					
Worst Variance Month: November																					
Worst Net Cash Flow Variance: -Rs.11,720																					
CONCLUSION																					
The 12-month cash flow forecast indicates a significant liquidity challenge.																					
Although cash inflows improve during some months, cash outflows remain consistently higher.																					
The business moves from a positive cash balance of Rs.66,042 in January to a projected negative balance of Rs.352,139 in December.																					
Management should focus on increasing sales, controlling expenses, monitoring budget variances and maintaining adequate liquidity reserves.																					
Cash-flow forecasting should be reviewed monthly to support timely financial decisions.																					